Financial Sector Survey to capture the dynamic linkages between banks and rest of the organised financial sector.

Liquidity of Money

As we move from M_1 to M_4 the liquidity (inertia, stability, spendability) of the money goes on decreasing and in the opposite direction, the liquidity increases.

Narrow Money

In banking terminology, M_1 is called narrow money as it is highly liquid and banks cannot run their lending programmes with this money.

Broad Money

The money component M_3 is called broad money in the banking terminology. with this money (which lies with banks for a known period) banks run their lending programmes.

Money Supply

In general discussion we usually use money supply to mean money circulation, money flow in the economy. But in banking and typical monetary management terminology the level and supply of M_3 is known as money supply. The growth rate of broad money (M_3) i.e. *money supply*, was not only lower than the indicative growth set by the Reserve Bank of India but also it witnessed continuous and sequential deceleration in the last 7 quarters and moderated to 11.2 per cent by December, 2012. Aggregate deposits with the banks were the major component of broad money counting for over 85 per cent remaining almost stable. The sources of broad money are net bank credit to the Government and to the commercial sector. These two together accounted for nearly 100 per cent of the broad money in 2012-13 compared to 89 percent in 2009-10.

Minimum Reserve